



Qualification Programme Examination Panelist's Report

Module 7 – Financial Management (December 2020 Session)

(The main purpose of the following report is to summarise candidates' common weaknesses and make recommendations to help future candidates improve their performance in the examination.)

(I) Section A – Multiple Choice Questions

General Comments

This is the first cohort to kick off the new QP Module 7 Examination. There were ten multiple choice questions designed to test basic knowledge involving both financial management and managerial accounting fields.

In general, candidates performed better in the area of managerial accounting but were weak in the application of financial concepts.

Specific Comments

Only a few candidates demonstrated mastery of the key concept of application of the security market line. Only one-third of the candidates correctly answered the question related to the financial risk management objective and the calculation of the current share price by making use of the famous financial valuation model – the dividend growth model – which involves the basic application of discounted cash flows.

(II) Section B – Written Questions

General Comments

There were four case questions in Section B that incorporated fundamental knowledge in the area of finance and the managerial accounting field.

In general, candidates' performance was satisfactory with a normal distribution as expected. Most candidates performed well in questions related to basic calculation in finance areas, such as the net present value ("NPV") and the different components of the costs of capital, etc.

However, many candidates were weak in numerical reasoning and failed to provide relevant financial advices, such as financial analyses and capital investment appraisals.



Specific Comments

Question 1(a) – 9 Marks

This question required candidates to prepare a statement of cash flows showing “cash flow from operating activities” using an indirect method.

Some candidates wrongly double counted depreciation as given in the question under “all costs and operating expenses”, while some did not properly account for the correct signs for changes in current assets/ liabilities and incorrectly included capital expenditure in arriving cash flow from operating activities.

A few candidates did not read the question carefully and provided “changes in cash” and “cash flows from investing and financing activities”, which were not required by the question. Candidates are advised to read the question instructions carefully.

Question 1(b) – 6 Marks

This question required candidates to analyse the implications of the change in each component of current assets and current liabilities on the amount of operating cash flows calculated in Question 1(a) above.

A number of candidates failed to identify the possible bad debt risk, inventory obsolescence risk, and default payment risk, which were obviously set in the case scenario.

Question 1(c) – 5 Marks

This question required candidates to define and calculate “free cash flow” and advise on the financial strategy to meet the current obligation for the company.

It is quite disappointing to note that very few candidates were able to define the “free cash flow” correctly. Only a limited number of candidates managed to advise on the external financing by either issuing debts or equity.

Question 2(a)(i) – 4 Marks

This question required candidates to explain, with calculation, the highest expected return for the portfolio achievable under the given restrictions.

Despite this question being straightforward, only a few candidates were able to identify the higher-return stock for computing the corresponding portfolio return. Even worse, some candidates incorrectly involved calculation of the given correlation when calculating the portfolio return.

Question 2(a)(ii) – 6 Marks

This question required candidates to explain, supported with calculations, the attainable

lowest risk for the portfolio under the mentioned restrictions.

Only a very limited number of candidates were able to calculate the portfolio standard deviation by applying the given correlation. Candidates are strongly recommended to familiarise themselves with those fundamental topics of portfolio theory in finance.

Question 2(b)(i) – 3 Marks

This question required candidates to state the ultimate goal of the financial management and explain how a financial manager's decisions can affect this goal with an example.

Most candidates were able to give an example of how a financial manager could affect financial management as requested, but only a few candidates managed to highlight that the goal of financial management is to maximise the shareholders' wealth as measured by the relevant cash flows.

Question 2(b)(ii) – 2 Marks

This question required candidates to explain the difference between money markets and capital markets. Most candidates performed satisfactorily on this question.

Question 2(b)(iii) – 5 Marks

This question required candidates to explain the concept of initial public offerings ("IPOs") and to differentiate between primary and secondary markets in order to identify the type of capital market where the public trades stocks on the Hong Kong Stock Exchange. The question also required candidates to elaborate on the impact of marketability on transaction costs of investors and companies.

In general, performance on this question was satisfactory. However, a few candidates failed to identify that IPOs are traded in the primary market and that stocks are traded in the secondary market afterwards.

Question 3(a) – 6 Marks

This question required candidates to compute the different components of the cost of capital in terms of the cost of equity, cost of preferred stock, and cost of debt for the company. Most candidates performed well on this question.

Question 3(b) – 3 Marks

This question required candidates to compute the weighted average cost of capital ("WACC"). Most candidates performed well on this question, while some failed to be aware that WACC should use the market value instead of the book value of those respective securities.



Question 3(c) – 5 Marks

This question required candidates to compute the NPV for the projects and explain which project the company should choose. This question was reasonably well answered.

Question 3(d) – 3 Marks

This question required candidates to compute the profitability index and explain which project the company should choose. Performance was satisfactory.

Question 3(e) – 3 Marks

This question required candidates to determine which project the company should undertake based on the analysis in Questions 3(c) and 3(d).

Many candidates did not attempt this part. Most candidates failed to show awareness that NPV is the most preferable capital budgeting technique with appropriate reasons.

Question 4(a) – 4 Marks

This question required candidates to define segment reporting and explain its usefulness for decision making by investors and creditors.

Most candidates were able to show that segment reporting is required by publicly held entities to provide more information related to each segment/ division/ business line.

Question 4(b) – 8 Mark

This question required candidates to prepare a segmented statement of profit or loss with contribution margin and segment margin.

A significant number of candidates failed to calculate the segment margin as specifically required and incorrectly allocated the corporate expenses to each segment.

Question 4(c) – 8 Marks

This question required candidates to state the four responsibility centres and explain how they are being evaluated.

Performance was satisfactory, but some candidates failed to state all the four responsibility centres by proper name and their corresponding performance evaluation criteria.



(III) Conclusion and Recommendation

Candidates are advised to read the question instructions carefully and improve time management to avoid leaving questions unattempted. Candidates are also advised to study sufficiently for all topics covered in the syllabus.